TENTATIVE RULINGS

LAW AND MOTION CALENDAR

Judge Thomas J. Lo

Department C44

Hearing Date and Time: June 18, 2026 @ 1:30 PM

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are **NOT** provided for law and motion matters in this department. If a party desires a record of a law and motion proceeding, it will be the party's responsibility to provide a court reporter. Parties must comply with the Court's policy on the use of privately retained court reporters which can be found at:

- Civil Court Reporter Pooling; and

- For additional information, please see the court's website at Court Reporter Interpreter Services for additional information regarding the availability of court reporters.

Tentative rulings: The court endeavors to post tentative rulings on the court's website in the morning, prior to the afternoon hearing. However, ongoing proceedings such as jury trials may prevent posting by that time. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5244. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling, and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.).

Appearances: Department C44 conducts non-evidentiary proceedings, such as law and motion hearings, remotely by Zoom videoconference pursuant to Code of Civil Procedure section 367.75 and Orange County Local Rule 375. Any party or attorney, however, may appear in person by coming to Department C44 at the Central Justice Center, located at 700 Civic Center Drive West in Santa Ana, California. All counsel and self-represented parties appearing in-person must check in with the courtroom clerk or courtroom attendant before the designated hearing time.

All counsel and self-represented parties appearing remotely must check-in online through the court's civil video appearance website at https://www.occourts.org/media-relations/civil.html before the designated hearing time. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available at https://www.occourts.org/media-relations/aci.html. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" and "Guidelines for Remote Appearances" also are available at https://www.occourts.org/media-relations/aci.html. Those procedures and guidelines will be strictly enforced.

Public Access: The courtroom remains open for all evidentiary and non-evidentiary proceedings. Members of the media or public may obtain access to law and motion hearings in this department by either coming to the department at the designated hearing time or contacting the courtroom clerk at (657) 622-5244 to obtain login information. For remote appearances by the media or public, please contact the courtroom clerk 24 hours in advance so as not to interrupt the hearings.

Arguments: The court will allow arguments on the pending motions up to 10 minutes per side, but those arguments must not repeat arguments previously made in each parties' applicable briefs.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

#	Case Name	Tentative
1	**Celis vs. General Motors LLC** **2023-01308014**	**Motion for Attorney Fees** Plaintiffs Katty Celis and Juan Celis's motion for attorney fees is GRANTED in the total amount of $15,123.50. (See Major Decl. ¶ 14, Ex. L [settlement agreement stating defendant expressly "agree[s] that Plaintiffs are the prevailing party" "[f]or purposes of any ... motion" for "attorney's fees ... pursuant to California Civil Code § 1794(d)"]; *PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1095-1096 (*PLCM*) [lodestar method]; *Reynolds v. Ford Motor Company* (2020) 47 Cal.App.5th 1105, 1112 [same].) The court finds that all of the hours requested to be reasonable (see Jacobson Decl. at Ex. 24; Jacobson Reply Decl. ¶ 8), with the exception of the following: (1) <u>All of Matt Xie's 0.3 hours</u>. Mr. Xie popped into this case on only one occasion to do nothing more than review the initial repair and purchase documents on 8/24/25, long after the case had been filed, and did absolutely nothing else in the case. (See Jacobson Decl. at Ex. 24.) As there was no apparent reason for Mr. Xie to be reviewing the file, all of his time is denied. (See *Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1132 [padding in the form of inefficient or duplicative efforts is not subject to compensation]; *Morris v. Hyundai Motor America* (2019) 41 Cal.App.5th 24, 38 [same]; *Save Our Uniquely Rural Community Environment v. County of San Bernardino* (2015) 235 Cal.App.4th 1179, 1186 (*SOURCE*) [trial court is "justified in reducing a claim if it believes the billing is unjustly inflated"].) (2) <u>All of Solange Tadros's 0.4 hours</u>. Ms. Tadros billed a total of 0.4 hours on 8/15/25, for "communication with clients" (0.3 hours) and updating "notes on clio after speaking with client" (0.1 hours). (Jacobson Decl. at Ex. 24.) Given that Ms. Tadros had not done any work on this case before this "communication with [the] clients" and did not do any work on the case thereafter, this entry does not appear reasonable, especially since an attorney who was working on the case also called the clients later the same day. (See *ibid*.) It appears as if Ms. Tadros simply answered a client call and took down a message for the handling attorneys. (See, e.g., *Serrano v. Unruh* (1982) 32 Cal.3d 621, 635, fn. 21 [clerical tasks billed at attorney rates questionable]; *SOURCE, supra,* 235 Cal.App.4th at pp. 1186-1187 [the trial court "could reasonably have determined that billing at partner rates for" "some work that appears ... to be clerical" was "excessive"].)

(3) <u>1.0 anticipated hour of Derek Chipman's time to prepare for and appear at the hearing on this fee motion</u>. (See Jacobson Reply Decl. ¶ 8 [requesting two hours for this task].) Mr. Chipman reviewed the opposition and prepared the reply. (*Ibid*.) He should need no more than an hour to prepare for and attend the hearing on this matter.

The court finds many of the requested hourly rates to be unreasonably high, however, and outside the reasonable range for attorneys of their experience, expertise, and skill. (See *Morris v. Hyundai Motor America, supra,* 41 Cal.App.5th at p. 41 [" 'the court may rely on its own knowledge and familiarity with the legal market, as well as the experience, skill, and reputation of the attorney requesting fees [citation], the difficulty or complexity of the litigation to which that skill was applied [citations], and affidavits from other attorneys regarding prevailing fees in the community and rate determinations in other cases' "]; accord, *Doskocz v. ALS Lien Services* (2024) 102 Cal.App.5th 107, 120.)

The court has reduced the following attorneys' hourly rates as set forth below, as their requested rates are unreasonably high for attorneys of their experience, expertise, and skill (all attorneys' admission dates have been checked against the California State Bar website):

(1) Managing partner Kevin Jacobson (admitted May 2018), co-founder of Quill & Arrow, LLP as of 2019—reduced to $500/hour from and through 2023-2025. (See Jacobson Decl. ¶¶ 1, 3-6.)
(2) Former associate attorney Siyun Yang, LL.M. (admitted May 2022)—2023 rate reduced to $300/hour. (See Jacobson Decl. ¶¶ 38-39.)
(3) Senior associate attorney Nicholas Yowarski (admitted July 2021)—2024 rate reduced to $375 and 2025 rate reduced to $400. (See Jacobson Decl. ¶¶ 40-41.)
(4) Attorney Nicolas Lee (admitted Sept. 2017)—2025 rate reduced to $450. (See Jacobson Decl. ¶¶ 32-33.)
(5) Attorney Derek Chipman (admitted Dec. 2019)—2026 rate reduced to $450. (See Jacobson Decl. ¶¶ 44-45; Jacobson Reply Decl. ¶¶ 8-9.)
(6) Attorney Joshua Kohanoff (admitted Nov. 2022)—2025 rate reduced to $375. (See Jacobson Decl. ¶¶ 42-43.)

The court finds all of the remaining requested rates to be within the reasonable range.

After accounting for the time and hourly rate reductions above, plaintiffs' reasonable attorney fees come out to a total of $15,123.50 (see Jacobson Decl. ¶ 73, Ex. 24 [billing records]; Jacobson Reply Decl. ¶¶ 8-9), as follows:

Attorney	Year	Rsbl. Rate	Hours	Amount
Kevin Jacobson	2023	$500	0.6	$300.00
	Eff. Jan. 2025	$500	0.2	$100.00
	Eff. May 2025	$500	0.7	$350.00
Kim Anglin	2023	$400	1.7	$680.00
Siyun Yang	2023	$300	10.3	$3,090.00
	2024	$350	1.8	$630.00
	2025	$375	7.6	$2,850.00
Nicholas Yowarski	2024	$375	0.1	$37.50
	2025	$400	1.4	$560.00
Nicolas Lee	2025	$450	2.4	$1,080.00
Matt Xie	2025	--	--	$0.00
Solange Tadros	2025	--	--	$0.00
Derek Chipman	2025	$395	6.8	$2,686.00
	2026	$450	5.8	$2,610.00
Joshua Kohanoff	2025	$375	0.4	$150.00
			TOTAL:	**$15,123.50**

Plaintiffs' request for a multiplier enhancement is denied. (See *Ketchum, supra*, 24 Cal.4th at p. 1132 [multiplier factors].) This case did not involve novel or difficult legal or factual issues, and plaintiffs' counsel did not display any exceptional skill in prosecuting the matter. There is no evidence that this case precluded plaintiffs' counsel from taking on other clients. As for the contingent nature of the fee award, this factor is already accounted for and reflected in the high hourly rates granted above.

Plaintiffs shall give notice.

2

Coconut Funding Corp. vs. Pearlman

2025-01479665

Motion for Preliminary Injunction

Plaintiff Coconut Funding Corp.'s application for preliminary injunction is GRANTED in part and DENIED in part. The court orders that a preliminary injunction shall issue on the following terms, upon plaintiff posting bond within seven calendar days after the hearing, in an amount to be determined at the hearing. (Code Civ. Proc., §§ 526, subd. (a) [authorizing injunctive relief], 526, subd. (a) [bond]; *Costa Mesa City Employees' Assoc. v. City of*

Costa Mesa (2012) 209 Cal.App.4th 298, 309 [generally, injunctive relief request requires consideration of whether plaintiff is likely to suffer greater injury from denial of the injunction than defendant is likely to suffer if it is granted, and whether there is a reasonable probability that plaintiff will prevail on the merits.)

Defendant's request for judicial notice is DENIED. (*Soukup v. Law Offices of Herbert Hafif* (2006) 39 Cal.4th 260, 295 [court is not required to take judicial notice of irrelevant documents]; *Stevens v. Superior Court* (1999) 75 Cal.App.4th 594, 607-608 [materials prepared by private parties and merely on file with state agencies not ordinarily a proper subject of judicial notice].)

Defendant's evidentiary objection no. 4 to the Jacob Pearlman Decl. is SUSTAINED (lacks foundation, lacks personal knowledge). Defendant's remaining evidentiary objections are OVERRULED.

Plaintiff's evidentiary objections to the Robert Pearlman Decl. in support of the Opposition are OVERRULED.

Moving party has provided sufficient evidence to show a probability of prevailing on the merits of its 1st cause of action for misappropriation of trade secrets. (Civ. Code, § 3426.1; *Reeves v. Hanlon* (2004) 33 Cal.4th 1140, 1155 [elements]; *Lam v. Ngo* (2001) 91 Cal.App.4th 832, 844 ["A single cause of action can sustain a preliminary injunction"].)

Moving party's evidence shows that it maintained information on its Dropbox cloud server, and in its Salesforce account, regarding customers, as well as lenders and investors, that satisfies the requirements for trade secrets. (Civ. Code, § 3426.1, subd. (d); J. Pearlman Decl., ¶¶ 2-13 [secrecy measures, independent value].)

Moving party has also provided evidence that defendant had access to this information while employed by plaintiff (J. Pearlman Decl., ¶¶ 14-17, 21, 22, 24); and that the desktop computer used by defendant during his employment with plaintiff showed extensive access to customer and lender/investor information immediately prior to defendant leaving plaintiff's employment (Berryhill Decl., ¶¶ ; J. Pearlman Decl., ¶¶ 21, 22.) Moving party further provides evidence that defendant had access to a laptop computer belonging to plaintiff, which was not returned until March 28, 2025. (J. Pearlman Decl., ¶ 19.)

Defendant has not provided sufficient evidence disputing the showing in the moving papers that the customer, lender, and/or investor information satisfied the statutory requirements for a trade secret. (Civ. Code, § 3426.1, subd. (d).)

Moving party has provided sufficient evidence to show a probability of prevailing on the merits of the remaining elements of its 1st cause of action for trade secrets, and for injunctive relief. (*Reeves v. Hanlon*, *supra* [elements]; J. Pearlman Decl., ¶¶ 14-17, 19-22, 24-27 [access, misappropriation], 23 [proximately caused damages], 29, 30 [balance of harms]; Berryhill Decl., ¶¶ 14-26 [acquisition].)

On the other hand, moving party has not shown that it is entitled to the extent of the relief requested. First, moving party has not shown that information in its "MCA-Track" account was "the subject of efforts that are reasonable under the circumstances to maintain its secrecy." (Civ. Code, § 3426.1, subd. (d)(2); J. Pearlman Decl., ¶ 25 [stating only that the "performance data contained in Coconut Funding's MCA-Track account is highly confidential and constitutes trade secrets;" no other supporting information].)

Second, the requested injunction contains some terms that are vague and/or overbroad. (*Midway Venture LLC v. County of San Diego* (2021) 60 Cal.App.5th 58, 92 ["An injunction must be narrowly drawn to give the party enjoined reasonable notice of what conduct is prohibited" and "must be sufficiently precise to provide a person of ordinary intelligence fair notice that her contemplated conduct is forbidden"].) Considering the balance of harms, the court finds that narrower orders are warranted.

The court therefore orders that Defendant Robert Pearlman dba Working Capital Network, his employees, agents, independent contractors, and all those acting in concert or participation with him, are enjoined and restrained from:

1. Using, disclosing, misappropriating, and/or profiting from Plaintiff's customer and lender / investor information, as maintained in Plaintiff's Dropbox cloud server, Salesforce accounts, and on Plaintiff's physical computers (including desktops and laptops), as of March 28, 2025; including, but not limited to customer lists, contact information, financial information, contract terms, and records; lender lists, information, and records; underwriting standards; marketing and financial data; business and funding models, strategies, and objectives; and personnel information.

		2. Initiating contact, or soliciting, any person or business entity doing or having done business with Plaintiff, during the time of Defendant's employment with Plaintiff. This does not preclude contact initiated by customers or former customers, nor preclude response by defendant to contact initiated by customers or former customers. 3. Directly or indirectly altering, destroying, or disposing of any evidence, in any form, relating to this action, including without limitation, emails and paper and electronic documents, including current or archived electronic logs, metadata, and directories. Plaintiff's remaining requests for injunctive relief are DENIED. The other requested relief is mandatory in nature without a showing of necessity, and/or duplicative of the relief already ordered above. (See *Daly v. San Bernardino County Bd. of Supervisors* (2021) 11 Cal.5th 1030, 1041 [prohibitory injunction "operates to preserve the status quo, while mandatory injunction "commands some change in the parties' positions"]; *Teachers Ins. & Annuity Assn. v. Furlotti* (1999) 70 Cal.App.4th 1487, 1493 ["The granting of a mandatory injunction pending trial is not permitted except in extreme cases where the right thereto is clearly established"].) The preliminary injunction shall issue upon Plaintiff posting a bond within seven calendar days after the hearing, and shall remain in effect during the pendency of this litigation, and/or until further order of the court. Case Management Conference set this date is vacated. Jury Trial set for July 26, 2027 at 8:30 a.m. in Department C44. Moving party shall give notice.
3	**Frey Environmental, Inc vs. Frietas** **2025-01458158**	**Motion to Be Relieved as Counsel of Record** Continued to 8/20/26. See minute order dated 6/16/26.
4	**Kiani vs. Koffey** **2025-01484637**	**Motion for Judgment on the Pleadings** No tentative.
5	**Maaranu vs. Ponder**	**Motion to Compel Arbitration by Defendants Darnell Ponder, et. al**

	2025-01505635	Defendants Darnell Ponder, Tyler Neuroth, Jon Lakatos, Ecommerce SAAS LLC, Tangram Payments LLC, 488 Marque Trust, Luqra LLC, The N Large Trust, F8 Group LLC, Ozark Marketing LLC and OFI SAAS LLC's Motion to Compel Arbitration is GRANTED. This action shall be STAYED pending the completion of arbitration. **An ADR Review Hearing is set for March 5, 2027 at 8:30 a.m. in Department C44.** The Federal Arbitration Act ("FAA"), which includes both procedural and substantive provisions, governs agreements involving interstate commerce. The FAA applies to contracts that involve interstate commerce (9 U.S.C. §§ 1, 2). Here, there is no dispute that the contract in question involves parties who are residents of different states and subject matter involving interstate commerce. (See, e.g., Compl. ¶262.) The FAA states that written arbitration agreements "shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) The Supreme Court has described this provision as reflecting both a "liberal federal policy favoring arbitration," and the "fundamental principle that arbitration is a matter of contract." (*AT & T Mobility LLC v.* Concepcion (2011) 563 U.S. 333.) On a motion to compel arbitration, the court's role is limited to deciding: "(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute." (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 ["By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration."].) "[T]he party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration." (*Green Tree Fin. Corp. v. Randolph* (2000) 531 U.S. 79, 91.) Moreover, the "'parties may agree to have an arbitrator decide not only the merits of a particular dispute but also ""gateway' questions of 'arbitrability,' such as whether the parties have agreed to arbitrate or whether their agreement covers a particular controversy."' [Citation.] But '[c]ourts should not assume that the

parties agreed to arbitrate arbitrability unless there is “clea[r] and unmistakabl[e]” evidence that they did so.’ [Citation.] This is a ‘heightened standard,’ and it ‘pertains to the parties' manifestation of intent, not the agreement's validity.’ [Citation.]” (*Najarro v. Superior Court* (2021) 70 Cal.App.5th 871, 879-880.)

Here, the arbitration agreement provides “ANY DISPUTE OR CLAIM BETWEEN THE PARTIES ARISING OUT OF OR RELATED TO THIS AGREEMENT SHALL BE FULLY AND FINALLY RESOLVED BY BINDING ARBITRATION IN DALLAS TEXAS IN ACCORDANCE WITH THE COMMERCIAL ARBITRATION RULES AND PRACTICES OF THE AMERICAN ARBITRATION ASSOCIATION ("AAA") FROM TIME TO TIME IN FORCE AND EFFECT. THIS AGREEMENT TO ARBITRATE SHALL BE SPECIFICALLY ENFORCEABLE AND IS THE EXCLUSIVE REMEDY FOR THE RESOLUTION OF SUCH DISPUTES UNDER THIS AGREEMENT…”

Since “incorporation of the AAA rules constitutes clear and unmistakable evidence that contracting parties agreed to arbitrate arbitrability”, the questions of whether the arbitration agreement covers non-signatory defendants and whether the claims alleged against Moving Defendants in the Complaint are covered by the arbitration agreement are questions for the arbitrator to decide.

Even if there was not a clear and unmistakable intent to delegate the question of arbitrability to the arbitrator, the arbitration agreement is enforceable by all the moving defendants and covers all of Plaintiff’s claims against them alleged in this action.

It is well settled that a non-signatory to an arbitration agreement may be entitled to enforce an arbitration agreement as a third party beneficiary.(*Macaulay v. Norlander* (1992) 12 Cal.App.4th 1, 7-8.) Here, the Settlement Agreement expressly provides that the released parties, including Moving Defendants Ecommerce SAAS LLC, Tangram Payments, LLC, OFI SAAS, LLC, Jon Lakatos, and Tyler Neuroth, are all third party beneficiaries. Furthermore, the nominal Defendant Electronic Commerce, LLC is also identified as such.

A nonsignatory defendant may “compel a signatory plaintiff to arbitrate where there is a connection between the claims alleged against the nonsignatory and its agency relationship with a signatory” defendant. (*Cohen v. TNP 2008 Participating Notes Program, LLC* (2019) 31 Cal.App.5th 840, 863.) “[A]gents of a signatory can compel the other signatory to arbitrate so long as (1) the wrongful acts of the agents for which they are sued relate to their behavior as agents or in their capacities as agents [citation] and (2) the claims against the agents arise out of or relate to the contract containing the arbitration clause [citation] (consistent with the language of the arbitration clause." (*Amisil Holdings Ltd. v. Clarium Capital Mgmt. LLC* (N.D.Cal. 2007) 622 F.Supp.2d 825, 832; see also *Garcia v. Pexco, LLC* (2017) 11 Cal.App.5th 782, 788 ["The [agency] exception applies, and a defendant may enforce the arbitration agreement, 'when a plaintiff alleges a defendant acted as an agent of a party to an arbitration agreement' "]; *Dryer v. Los Angeles Rams* (1985) 40 Cal.3d 406, 418 [nonsignatory alleged to be an agent of a signatory is entitled to arbitrate claims brought against it by another signatory].)

Here, Moving Defendants 488 Marque Trust, Luqra LLC, the N Largo Trust, F8 Group LLC, and Ozark marketing LLC have standing to enforce the arbitration agreement because they are alleged to be agents of the signatory Ponder. (See Complaint ¶¶19-23.)

All of the claims alleged in the Complaint are premised upon allegations of a misappropriation of assets in violation of the settlement agreement or a failure to abide by the terms of the settlement agreement regarding indemnification regarding merchant lawsuits. Thus, arbitration of these claims is required regardless of whether the question of arbitrability is delegated to the arbitrator.

Plaintiff urges the court to deny the motion to compel arbitration under Code Civ. Proc. § 1281.2, subd. (c), which provides that the Court shall order arbitration unless it determines that:

> (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.

Code Civ. Proc. § 1281.2(c) does not apply where the arbitration agreement is governed by the FAA's procedural provisions. (See *Acquire II, Ltd. v. Colton Real Estate Group* (4th Dist. Div. 3 2013) 213 Cal.App.4th 959, 968 [FAA did not apply, thus it "did not prevent the trial court from relying on section 1281.2(c) to deny Defendants' motions [to compel arbitration]."]; *Rodriguez v.*

		American Technologies, Inc. (4th Dist. Div. 3 2006) 136 Cal.App.4th 1110, 1116 [reversing trial court order denying motion to compel arbitration, where parties "expressly agreed the FAA would govern arbitration of disputes under the contract," the trial court "had no discretion to deny the petition to compel arbitration" under section 1281.2(c)].) Here, there is no dispute that the FAA governs the arbitration agreement. Thus, following *Rodriguez*, this Court lacks discretion to refuse to enforce the arbitration provision under Code Civ. Proc. § 1281.2, subd. (c). Accordingly, the Motion to Compel Arbitration is GRANTED, and the action is stayed pending the completion of arbitration. **An ADR Review Hearing is set for March 5, 2027 at 8:30 a.m. in Department C44.** Moving Defendants shall give notice of this ruling. **Motion to Compel Arbitration by Defendants Global Legal Law Firm and James Cannon Huber** Defendants Global Legal Law Firm and James Cannon Huber's Motion to Compel Arbitration is GRANTED. This action shall be STAYED pending the completion of arbitration. **An ADR Review Hearing is set for March 5, 2027 at 8:30 a.m. in Department C44.** Plaintiff Khaazr Maaranu's Objections to the Declaration of Darnell Ponder are OVERRULED, except for Objection No. 3 which is SUSTAINED as to the second sentence in ¶ 7. The Federal Arbitration Act ("FAA"), which includes both procedural and substantive provisions, governs agreements involving interstate commerce. The FAA applies to contracts that involve interstate commerce (9 U.S.C. §§ 1, 2). Here, there is no dispute that the contract in question involves parties who are residents of different states and engaged in activities/subject matter involving interstate commerce. (See, e.g., Compl. ¶262.) The FAA states that written arbitration agreements "shall be valid, irrevocable, and enforceable, save upon such grounds as exist at

		law or in equity for the revocation of any contract." (9 U.S.C. § 2.) The Supreme Court has described this provision as reflecting both a "liberal federal policy favoring arbitration," and the "fundamental principle that arbitration is a matter of contract." (*AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333.) On a motion to compel arbitration, the court's role is limited to deciding: "(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute." (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 ["By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration."].) "[T]he party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration." (*Green Tree Fin. Corp. v. Randolph* (2000) 531 U.S. 79, 91.) Here, the arbitration agreement provides "ANY DISPUTE OR CLAIM BETWEEN THE PARTIES ARISING OUT OF OR RELATED TO THIS AGREEMENT SHALL BE FULLY AND FINALLY RESOLVED BY BINDING ARBITRATION IN DALLAS TEXAS IN ACCORDANCE WITH THE COMMERCIAL ARBITRATION RULES AND PRACTICES OF THE AMERICAN ARBITRATION ASSOCIATION ("AAA") FROM TIME TO TIME IN FORCE AND EFFECT. THIS AGREEMENT TO ARBITRATE SHALL BE SPECIFICALLY ENFORCEABLE AND IS THE EXCLUSIVE REMEDY FOR THE RESOLUTION OF SUCH DISPUTES UNDER THIS AGREEMENT…" Since "incorporation of the AAA rules constitutes clear and unmistakable evidence that contracting parties agreed to arbitrate arbitrability", the questions of whether the arbitration agreement covers non-signatory defendants and whether the claims alleged against Moving Defendants in the Complaint are covered by the arbitration agreement are questions for the arbitrator to decide. (See *Brennan*, supra, 796 F.3d at 1128-1132 [finding that incorporation of the AAA rules constitutes "clear and unmistakable" evidence that the parties intended to delegate the arbitrability question to an arbitrator]; *James & Jackson, LLC v. Willie Gary, LLC* (Del. 2006), 906 A.2d 76, 79 ["the question of arbitrability is 'an issue for judicial determination [u]nless the parties clearly and unmistakably provide otherwise.'"].)

		Even if there was not a clear and unmistakable intent to delegate the question of arbitrability to the arbitrator, the arbitration agreement is enforceable by the Moving Defendants. "Where a nonsignatory seeks to enforce an arbitration clause, the doctrine of equitable estoppel applies in two circumstances: (1) when a signatory must rely on the terms of the written agreement in asserting its claims against the nonsignatory or the claims are 'intimately founded in and intertwined with' the underlying contract [citations omitted] and (2) when the signatory alleges substantially interdependent and concerted misconduct by the nonsignatory and another signatory and 'the allegations of interdependent misconduct [are] founded in or intimately connected with the obligations of the underlying agreement.'" (*Kramer v. Toyota Motor Corp*., 705 F.3d 1122, 1128- 29 (9th Cir. 2013) (quoting *Goldman v. KPMG LLP*, 173 Cal.App.4th 209; *Cohen v. TNP 2008 Participating Notes Program, LLC* (2019) 31 Cal.App.5th 840, 863; *NAMA Holdings, LLC v. Related World Market Center, LLC* (Del. 2007) 922 A.2d 417, 433, fn. 35.) Here, Moving Defendants have standing to enforce the arbitration agreement because they are alleged to be agents of the signatory Ponder – his attorneys. The claims asserted against Moving Defendants are "intimately founded in and intertwined" with the Settlement Agreement as the claims relate to their representation of Ponder and the claims covered by the Settlement Agreement. Thus, arbitration of these claims is required regardless of whether the question of arbitrability is delegated to the arbitrator. Accordingly, the Motion to Compel Arbitration is GRANTED and the action shall be STAYED pending the completion of arbitration. **An ADR Review Hearing is set for March 5, 2027 at 8:30 a.m. in Department C44.** Clerk to give notice.
6	**Moore vs. Panutich** **2024-01438066**	**Motion to Appear Pro Hac Vice** Vacated. See minute order dated 6/16/26.
7	**Parkhill vs. Salt Creek Grille OC** **2025-01510859**	**Demurrer to Complaint**

		Defendants Salt Creek DP LLC, Jess Walker and Steve Vanderweid's Demurrer to the Complaint is OVERRULED in part and SUSTAINED in part. *Uncertainty* "A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (*Khoury v. Maly's of California, Inc.* (1993) 14 Cal.App.4th 612, 616.) Errors and confusion created by "the inept pleader" are to be forgiven if the pleading contains sufficient facts entitling plaintiff to relief. (*Saunders v. Cariss* (1990) 224 Cal. App. 3d 905, 908.) Defendants' argument regarding the location of the fireworks is unavailing. The Complaint alleges the fireworks took place at Salt Creek Grille OC located at 32802 Pacific Coast Highway, Dana Point, near Plaintiff's residence at 28 Monarch Bay Drive. This is sufficient to identify the location of the fireworks. Moreover, the allegations in the Complaint are not uncertain as Plaintiff alleges sufficient facts to determine the conduct at issue. Therefore, the demurrer for uncertainty is OVERRULED. *First Cause of Action – Negligence* "To prevail in an action for negligence, the plaintiff must demonstrate that the defendant owed a duty to the plaintiff, that the defendant breached that duty, and that the breach proximately caused the plaintiff's injuries." (*John B. v. Superior Court* (2006) 38 Cal.4th 1177, 1187.) Here, the Complaint alleges: "Defendants, and each of them, owed a duty to operate its premises and conduct its business in a reasonably safe and lawful manner and to refrain from engaging in conduct creating an unreasonable risk of harm to nearby persons and property." (Complaint, ¶ 19.) Defendants breached that duty by conducting fireworks near a residential area without authorization or a lawful permit, and without providing notice to Plaintiff. (Id. at ¶ 20.) As a result, Plaintiff sustained physical injuries trying to secure his dogs who were panicked by the noise of the fireworks. Although Defendant contends it does not owe a duty to Plaintiff because he was not a patron of the restaurant or an invitee,

		Plaintiff's allegation that they owed a duty in the care and use of their premises is valid. Accordingly, the demurrer to the first cause of action is OVERRULED. *Second Cause of Action – Negligence Per Se* "The negligence per se doctrine, as codified in Evidence Code section 669, creates a presumption of negligence if four elements are established: (1) the [party opposing a finding of negligence per se] violated a statute, ordinance, or regulation of a public entity; (2) the violation proximately caused death or injury to person or property; (3) the death or injury resulted from an occurrence of the nature of which the statute, ordinance, or regulation was designed to prevent; and (4) the person suffering the death or the injury to his person or property was one of the class of persons for whose protection the statute, ordinance, or regulation was adopted. The first two elements are questions of fact, while the latter two are questions of law." (*Spriesterbach v. Holland* (2013) 215 Cal.App.4th 255, 263-364 [cleaned-up].) Here, the Complaint alleges Defendants violated Health and Safety Code § 12500, et seq. by discharging fireworks at the Salt Creek Grille OC without a lawful permit. The violation caused injuries to Plaintiff, and Plaintiff is within the class of people such laws were designed to protect. Defendants argue that Plaintiff's injuries did not result from the fireworks coming into contact with him or his property, and Plaintiff was not a patron or an invitee on the property. Therefore, he was not in the class of people that the statute was adopted to protect. However, Defendants cite no legal authorities to support this position. Plaintiff alleges he resided in the residential area very near to Salt Creek Grille and was within the class of people the statute was designed to protect. Such allegations are sufficient to state a claim for negligence per se. *Third Cause of Action – Private Nuisance* A private nuisance claim requires three essential elements: (1) interference with the plaintiff's use and enjoyment of property, (2) substantial interference causing actual damage, and (3) unreasonable interference. (Civ. Code, § 3479.)

		The Complaint alleges the fireworks unreasonably interfered with his use and enjoyment of his property, including excessive noise, disruption of peace, panic and distress to Plaintiff's dogs, and disturbance of his quiet enjoyment of his home and yard. (Complaint, ¶ 34.) There are no allegations, however, regarding how the fireworks caused actual damage to Plaintiff's property. Accordingly, the demurrer to the third cause of action is SUSTAINED. Plaintiff has 15 days leave to amend. Clerk to give notice.
8	**U.S. Bank National Association vs. Pacific Life Insurance Company** **2023-01330408**	**Defendant Pacific Life Insurance Company's Motion for Summary Judgment and/or Adjudication** Defendant Pacific Life Insurance Company's Motion for Summary Judgment is DENIED. Defendant Pacific Life Insurance Company's Motion for Summary Adjudication is DENIED as to Issue 1-5. <u>*Delaware Law Applies to Determine the Question of Whether the Policy in Question is void ab initio:*</u> California courts "determine which jurisdiction's law will govern" by applying the "governmental interest test, which sets out a three-step inquiry: 'First, the court determines whether the relevant law of each of the potentially affected jurisdictions with regard to the particular issue in question is the same or different. Second, if there is a difference, the court examines each jurisdiction's interest in the application of its own law under the circumstances of the particular case to determine whether a true conflict exists. Third, if the court finds that there is a true conflict, it carefully evaluates and compares the nature and strength of the interest of each jurisdiction in the application of its own law "to determine which state's interest would be more impaired if its policy were subordinated to the policy of the state" [citation], and then ultimately applies "the law of the state whose interest would be the more impaired if its law were not applied."'" (*Chen v. Los Angeles Truck Centers, LLC* (2019) 7 Cal.5th 862, 867-868 [quoting *Kearney v. Salomon Smith Barney, Inc*. (2006) 39 Cal.4th 95, 107-108].)

		Here, the Parties do not dispute that the law of the states of California, Florida, and Delaware are materially different with respect to the question of whether the subject insurance policy is void ab initio. The Court is persuaded by Defendant's argument that Delaware law is applicable here. The undisputed facts show that this insurance policy was procured by a trust formed under Delaware law with a trustee based in Delaware and formed under Delaware law. (SSUMF 1-15.) Defendant has convincingly shown that Delaware has a strong interest in having its law with regard to insurable interests apply to insurance policies issued within its jurisdiction. (See, e.g. 18 DEcl. C. §§2701, subd. (2) [unless the policy is "not issued for delivery" in Delaware nor "delivered" in Delaware, Delaware's Insurable Interest provisions apply]; and 2704, subd. (g) [providing that "'[t]he existence of an insurable interest … shall be governed by this section without regard to an insured's state of residency or location."]; see also *PHL Variable Insurance Co. v. Price Dawe 2006 Insurance Trust* (2011) 28 A.3d 1059, 1067-1068 ["if a life insurance policy lacks an insurable interest at inception, it is void ab initio because it violates Delaware's clear public policy against wagering."].) Furthermore, the primary questions of law in this case involve the creation of the subject life insurance policy, and its creation involved a trust and sub-trust created under Delaware Law, a Delaware based Trustee, and issuance and delivery of an insurance policy in Delaware. Plaintiff asserts that California has an interest in seeing its own Insurance law be applied to determine whether the policy is void ab initio. Plaintiff's primary argument relies upon pointing out Defendant's ties to California. This is not persuasive, as the location of the insurance company issuing the policy is immaterial to the issuance and delivery of the subject policy. Furthermore, since California has, subsequent to the origination of the insurance policy at issue here, adopted Ins. Code §10110.1, which prohibits stranger originated life insurance schemes, California has an even more diminished interest in seeing its prior laws be used to validate such a scheme. Plaintiff also asserts that Florida law should be applied here, based upon the residency of Mrs. Weiser, the individual whose life was insured under this policy. Plaintiff offers no persuasive argument or authority that the residency of an insured establishes a strong interest of the state of domicile in having its insurance regulations

apply to such a policy. Defendant argues that Florida insurance statutes recognize a lack of interest in regulation of insurance policies “not issued for delivery” or “delivered” in Florida. (See Fla. Stat §627.401, subd. (2).) Moreover, Florida, like California, has also adopted anti-STOLI provisions in its insurance laws. (See Fla. Stat. §§ 626.99291, 626.99289, 626.9911, subd. (9).)

As to the third factor, impairment of government interest, Defendant has shown that both California and Florida’s interests would not be impaired by applying Delaware law to this dispute. Namely, both California and Florida have, after the subject policy was created, adopted rules indicating a clear policy against finding insurable interests in STOLI based life insurance policies. (See Ins. Code §10110.1 and Fla. Stat. §§ 626.99291, 626.99289, 626.9911, subd. (9).) Delaware, on the other hand, would stand to have its long standing prohibition on STOLI life insurance policies undermined by application of Florida or California law in this case. This is an especially egregious impairment of Delaware’s interest in regulating insurance policies issued and delivered in the State of Delaware because there is no genuine dispute here that the policy in question was applied for in Delaware by a Delaware trust.

Accordingly, the Court shall apply Delaware law regarding whether a STOLI-procured life insurance policy is subject to attack as void ab initio after the expiration of the policy’s incontestability period.

Issues 1-4:

Defendant moves for summary adjudication of Issues 1-4 on the ground that the subject life insurance policy is void ab initio because the undisputed facts show there is no insurable interest due to the policy premiums being initially paid for through a non-recourse loan.

“Under Delaware common law, if a life insurance policy lacks an insurable interest at inception, it is void ab initio because it violates Delaware’s clear public policy against wagering.” (*PHL Variable Insurance Co. v. Price Dawe 2006 Insurance Trust* (2011) 28 A.3d 1059, 1067-1068 (“*Pirce Dawe*”).) Moreover, “an insurer can challenge the enforceability of a life insurance contract after the incontestability period where a lack of insurable interest voids the contract.” (*Id.* at 1068.) In *Price Dawe*, the Delaware Supreme Court addressed the question of whether there is an insurable interest where a policy nominally procured by the insured is acquired with the intent to immediately transfer it to a stranger who would not have an insurable interest in the insured life. *Price Dawe* held that "[p]ayment of the premiums by the insured, as opposed to someone with no insurable interest in the insured's life, provides strong evidence that the transaction is bona fide … Life insurance policies, however, do not come into effect without premiums, so an insured cannot 'procure or effect' a policy without actually paying the premiums … Therefore, if a third party funds the premium payments by providing the insured the financial means to purchase the policy then the insured does not procure or affect the policy … The relevant inquiry is who procured the policy and whether or not that person meets the insurable interest requirements." (*Id.* at 1076.)

In *Lavastone Capital LLC v. Estate of Berland* (2021) 266 A.3d 964, 971-973 ("*Berland*")the Delaware Supreme Court addresses this exact question and holds that there are "two considerations when evaluating whether a policy lacks an insurable interest: (1) whether the insured or the trustee of the insured's trust obtained the policy in good faith and for a lawful insurance purpose, and not as cover for a wagering contract; and (2) the source of the funding for the premiums."

Berland applies this analysis to a situation "where (i) the source of the funding is a nonrecourse loan and not any assets of the insured and (ii) the insured's intent was to transfer ownership after the end of the contestability period…"

Berland observes that the use of a non-recourse loan to finance the procurement of a life insurance policy "is a recognized and permissible tool" where it is "used to facilitate procurement of a policy for a legitimate insurance purpose, such as estate planning", but non-recourse financing "might also be evidence of an impermissible STOLI scheme, especially where the use of a nonrecourse loan means that a third party, and not the insured, bears the entire financial responsibility for obtaining the policy." (*Id.* at 972.)

The *Berland* court concludes that "use of a nonrecourse loan to fund the premium therefore is not dispositive, but should be viewed in the context of the entire transaction and in conjunction with consideration of whether the insured intended, when obtaining the policy, "to purchase the policy for lawful insurance purposes, and not as a cover for a [wagering] contract." (*Id.*)

Here, Defendant attempts to meet its initial burden on summary adjudication of issues 1-4 by providing evidence indicating that

		Weiser did not have any obligation to pay for the procurement of the subject life insurance policy, but rather, the procurement was funded through a non-recourse loan. (see SSUMF Nos. 19-34.) Specifically, Defendant attempts to meet its burden by showing that the insurance policy was procured using a loan, that Weiser did not have any obligation to pay any premiums or loan payments out of pocket, and that the only collateral securing the loan was the policy procured using the loan proceeds. While this evidentiary showing may be "strong evidence" that there is no insurable interest and the policy is void ab initio, Defendant's separate statement entirely fails to address whether Weiser had a bona fide reason to procure this policy through financing for a lawful insurance purpose. Accordingly, this showing is not sufficient for the court to find, as a matter of law, that the purpose of using this method of financing to procure the insurance policy was "as cover for a wagering contract." Even if this showing were to be considered sufficient, Plaintiff has met its minimal burden to establish a triable issue of fact as to Weiser's good faith basis to obtain this policy for a lawful insurance purpose by identifying evidence that Weiser sought to procure the policy to address financial liquidity issues in the course of her estate planning for her multi-million dollar estate. (See, e.g. Plaintiff's Additional Material Facts No. 72.) Summary adjudication of the issue of whether the policy is void ab initio is not warranted because the court would be required to weigh evidence and make a determination as to whether Weiser had a bona fide estate planning reason to structure the procurement of this policy in this way. Accordingly, the motion is DENIED as to Issues 1-4, as each of these issues turn upon the determination that the subject policy is void ab initio under Delaware law for lack of an insurable interest. <u>*Issue 5:*</u> Plaintiff's fourth cause of action is for unjust enrichment. Plaintiff alleges that even if the subject policy were void ab initio, Plaintiff is entitled to a refund of the premiums paid on the policy because it would be a miscarriage of justice to permit Defendant to retain the premiums while also contesting the validity of the policy at its inception. Under Delaware law, courts are to employ "a fault-based analysis … to determine whether premiums should be returned." (*Geronta Funding v. Brighthouse Life Insurance Company* (2022) 284 A.3d 47, 71-72. ("*Brighthouse*").) The Delaware Supreme Court

provided its reasoning for adopting a fault-based approach to determining whether premiums should be refunded. The reason a fault-based analysis is required is because in order to effectuate the public policy against procuring and trading in insurance policies that are void for a lack of insurable interest, there must be a balanced approach that "discourages insurance companies from hiding the invalidity of a policy for as long as possible in order to continue collecting premiums" while also not "encourag[ing] investors to continue purchasing life insurance policies without investigation into whether those policies are unenforceable policies due to lack of insurable interest [because] [u]nder the worst-case scenario, the investor receives return of the premiums … [and] the investor loses nothing in the gamble." (*Id.* at 72.) Ultimately, a fault-based approach "incentivizes each player along the chain of these insurance policies to behave in good faith." (*Id.*)

Here, both parties have submitted dozens of exhibits to attempt to establish the relative fault of the other party by showing when the other party known or should have known about the potential insurable interest issues with the subject policy. (See SSUMF Nos. 36-57; Plaintiff's SAUMF Nos. 95-174.) Even if the Parties' respective factual showings concerning the relative fault of the other party were uncontested, applying a fault-based analysis to determine whether, in the event the policy is found to be void ab initio, a premium refund is warranted cannot be summarily adjudicated. Accordingly, the motion is DENIED as to this issue.

Plaintiff's Motion for Summary Judgment and/or Adjudication

Plaintiff U.S. Bank, NA's Motion for Summary Judgment is DENIED.

Plaintiff U.S. Bank, NA's Motion for Summary Adjudication is DENIED.

As discussed above, the question of whether the subject insurance policy is void ab initio requires resolution of disputed questions of material fact. Accordingly, the same disputed questions of material fact preclude summary adjudication or any of the eight issues identified in Plaintiff's Motion.

Motions to Seal

The Motions to Seal various exhibits submitted in connection with the Parties' Motions for Summary Judgment are CONTINUED to

		8/27/26 at 1:30 p.m. in this department. The Motion to Seal currently set for hearing on 7/23/26 is CONTINUED to 8/27/26 at 1:30 p.m. in this department. No later than 7/16/26, all Parties and third-party movants involved in these motions to seal shall meet and confer and submit to the court a statement regarding their willingness to stipulate to the appointment of a referee for the purposes of assessing the confidentiality designations and requests to file records under seal. The clerk shall provide notice of these rulings.